

Cambridge International AS & A Level

ECONOMICS

9708/02M

Paper 2 AS Level Data Response and Essays

Practice Series 2026

MARK SCHEME

Maximum Mark: 60

Difficulty: Moderate

★ **PREDICTED PAPER — FOR REVISION USE** ★

This mark scheme is a predicted paper mark scheme produced for student revision purposes. It mirrors the structure and generic marking principles of the Cambridge International AS & A Level 9708 Economics Paper 2 mark scheme. It is not an official Cambridge International document.

Generic Marking Principles

These general marking principles must be applied alongside the specific content of this mark scheme and the generic level descriptions for each question.

GENERIC MARKING PRINCIPLE 1

Marks must be awarded in line with the specific content of the mark scheme, the specific skills defined in the mark scheme or generic level descriptors, and the standard of response required.

GENERIC MARKING PRINCIPLE 2

Marks awarded are always whole marks (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3

Marks must be awarded positively: marks are awarded for correct/valid answers; credit is given for valid answers beyond the mark scheme where appropriate; marks are not deducted for errors or omissions.

GENERIC MARKING PRINCIPLE 4

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

GENERIC MARKING PRINCIPLE 5

Marks should be awarded using the full range of marks defined in the mark scheme for the question.

GENERIC MARKING PRINCIPLE 6

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

Social Science-Specific Marking Principles (point-based marking)

- DO credit answers worded differently from the mark scheme if they clearly convey the same meaning.
- DO credit alternative answers/examples not written in the mark scheme if correct.
- DO NOT credit answers simply for using a 'key term' unless that is all that is required.
- DO NOT credit answers that are self-contradicting or attempt to cover all possibilities.
- DO NOT give further credit for repetition of a correct point already credited.

Assessment Objectives

AO1 Knowledge and understanding

- Show knowledge of syllabus content, recalling facts, formulae and definitions.
- Demonstrate understanding of syllabus content, giving appropriate explanations and examples.
- Apply knowledge and understanding to economic information using written, numerical and diagrammatic forms.

AO2 Analysis

- Examine economic issues and relationships, using relevant economic concepts, theories and information.
- Select, interpret and organise economic information in written, numerical and diagrammatic form.
- Use economic information to recognise patterns, relationships, causes and effects.
- Explain the impacts and consequences of changes in economic variables.

AO3 Evaluation

- Recognise assumptions and limitations of economic information and models.

- Assess economic information and the strengths and weaknesses of arguments.
- Communicate reasoned judgements, conclusions and decisions, based on the arguments.

Table A: AO1 Knowledge and understanding and AO2 Analysis

Use this table for the (b) parts of Questions 2, 3, 4 and 5.

Level	Description	Marks
3	- Detailed knowledge and understanding of relevant economic concepts is included, using relevant explanations, supported by examples where appropriate. - Response clearly addresses the requirements of the question and explains economic issues, fully developing these explanations. - Analysis is developed and detailed with accurate and relevant use of economic concepts and theories. Where necessary, accurate and relevant use of analytical tools such as diagrams and formulae, fully explained. - Responses are well-organised, well-focused and presented in a logical and coherent manner.	6–8
2	- Knowledge and understanding of some relevant economic concepts is included, using explanations and examples that are limited, over-generalised or contain inaccuracies. - Response addresses the general theme of the question and the relevant economic issues, with limited development. - Analysis is generally accurate with some development but little detail. Analytical tools are used where necessary but partially accurate or not fully explained. - Responses are generally logical and coherent but sometimes lacking in focus or organisation.	3–5
1	- A small number of relevant knowledge points are included; response is limited by significant errors or omissions. - Response has little relevance to the question. - Analysis where provided is largely descriptive. Analytical tools, where used, may contain significant errors or be omitted. - Responses show limited organisation of economic ideas.	1–2
0	No creditable response.	0

Table B: AO3 Evaluation

Use this table for the (b) parts of Questions 2, 3, 4 and 5.

Level	Description	Marks
2	- Provides a justified conclusion or judgement that addresses the specific requirements of the question. - Makes developed, reasoned and well-supported evaluative comment(s).	3–4
1	- Provides a vague or general conclusion or judgement in relation to the question. - Makes simple evaluative comment(s) with no development and little supporting evidence.	1–2
0	No creditable response.	0

Section A

Follow the point-based marking guidance at the top of this mark scheme.

Question	Answer	Marks
1(a)(i)	Identify the change in the UK CPI annual inflation rate between December 2021 and October 2022. It increased / rose (1) <i>Note: Award 1 mark only for clearly identifying that it increased. Candidates may also cite the rise from 5.4% to 11.1% (a rise of 5.7 percentage points) but a calculation is not required.</i>	1
1(a)(ii)	Compare the trend in the UK CPI annual inflation rate between December 2021 and October 2022 with that between October 2022 and October 2023. It increased in the first period (Dec 2021–Oct 2022) and then fell in the second period (Oct 2022–Oct 2023). (1) <i>Only credit a comparison of the overall trend between the two periods. Reference to fluctuations within each period is not required.</i>	1
1(b)	Identify one possible impact of a high rate of inflation on UK households and one possible impact on UK firms. - Households: fall in real incomes / reduction in purchasing power / fall in living standards / reduced saving / uncertainty about future prices. (1) - Firms: higher costs of production / menu costs / difficulty in pricing / reduced international competitiveness / uncertainty affecting investment. (1) <i>1 mark max per impact. One clear impact on each group is required.</i>	2
1(c)	Consider whether a 9.7% rise in the UK minimum wage is likely to cause a wage–price spiral. - A wage–price spiral occurs when higher wages raise firms' costs of production (1), which are passed on as higher prices (1), leading to further wage demands as workers seek to maintain real incomes (1). - However, the effect depends on: the share of the workforce affected by the minimum wage (1); whether productivity also rises to offset higher wage costs (1); the degree of competition in product markets (1); the Bank of England's response through monetary policy (1). <i>Reserve 1 mark for a valid conclusion/judgement. Maximum 3 marks for analysis without evaluation.</i>	4

Question	Answer	Marks
1(d)	Assess the extent to which supply-side shocks, such as rising global energy prices and supply chain disruptions, can explain the increase in UK inflation between 2021 and 2022. Up to 3 marks for analysis showing how supply-side shocks raise inflation, e.g.: • Rising energy prices raise costs of production across most sectors (1). • This shifts the SRAS curve leftward (1), raising the price level (cost-push inflation) (1). • Supply chain disruptions create shortages, raising prices of imported intermediate goods (1). Up to 3 marks for analysis that considers alternative / demand-side explanations, e.g.: • Post-pandemic demand rebound increased aggregate demand (1). • Fiscal stimulus and low interest rates also contributed to demand-pull inflation (1). • A weaker pound reinforced imported inflation but is partly demand-driven (1). <i>Note: Maximum 4 marks for analysis without a balanced evaluation. Reserve 1 mark for a balanced evaluation that assesses both sides and 1 mark for a justified conclusion.</i>	6
1(e)	Assess the extent to which raising the Bank Rate is likely to be effective in reducing the UK's rate of inflation. Up to 3 marks for analysis of how raising the Bank Rate reduces inflation: • Higher Bank Rate raises commercial lending rates (1), reducing borrowing by households and firms (1). • This lowers consumption and investment, reducing AD and easing demand-pull inflation (1). • A stronger pound may lower import prices, reducing cost-push inflation (1). Up to 3 marks for analysis of limitations: • Monetary policy has long and variable time lags (1). • Ineffective against supply-side (cost-push) inflation (1). • May worsen the cost-of-living crisis for mortgage holders / cause unemployment (1). • Transmission mechanism weakened if households and firms are on fixed-rate deals (1). <i>Note: Maximum 4 marks for analysis without a balanced evaluation. Reserve 1 mark for a balanced evaluation and 1 mark for a justified conclusion.</i>	6

Section B

Use Tables A and B for (b) parts. Follow the point-based marking guidance at the top of this mark scheme for (a) parts.

Question	Answer	Marks
EITHER		
2(a)	Explain what is meant by price elasticity of demand (PED) and consider why PED varies between different goods. <i>Follow the point-based marking guidance and award:</i> - Up to 3 marks for AO1 Knowledge and understanding - Up to 3 marks for AO2 Analysis - Up to 2 marks for AO3 Evaluation AO1 (max 3): - PED measures the responsiveness of quantity demanded to a change in price (1). $PED = \% \Delta Q_d \div \% \Delta P$ (1). - Values: $PED > 1$ elastic, $PED < 1$ inelastic, $PED = 1$ unit elastic; sign is usually negative (1). AO2 (max 3): Analysis of determinants of PED, e.g.: - Availability of close substitutes — more substitutes = more elastic (1). - Proportion of income spent on the good — larger share = more elastic (1). - Time period — demand is more elastic over the long run as consumers adjust (1). - Whether a good is a necessity or a luxury — necessities tend to be inelastic (1). - Whether the good is addictive / habit-forming — typically inelastic (1). AO3 (max 2): - PED varies because the relative strength of these determinants differs across goods (1); e.g. petrol in the short run is inelastic due to few substitutes, while a specific brand of soft drink is elastic due to many substitutes (1).	8
2(b)	Assess whether firms selling goods with a relatively price-inelastic demand always benefit more than firms selling goods with a relatively price-elastic demand. <i>Use Table A (AO1 and AO2 out of 8 marks) and Table B (AO3 out of 4 marks).</i> Indicative content: Responses may include: AO1 and AO2: - Defining and applying PED, and linking price changes to total revenue. - For inelastic demand: a price rise increases total revenue;	12

Question	Answer	Marks
	firms can raise prices without large falls in quantity demanded. • Examples: essential utilities, addictive products, branded necessities. • For elastic demand: firms benefit from price cuts as total revenue rises; competitive pressure forces efficiency and innovation. • Firms selling inelastic goods may face government regulation, taxation or price caps (e.g. UK energy price cap). • Firms selling elastic goods may build market share through price competition. AO3: • A justified conclusion recognising that 'always' is a strong claim; the benefit depends on market structure, government policy, ethical considerations, and the firm's strategic objective (profit vs. market share). <i>Level 1 responses will be assertive / lacking explanations / mainly descriptive.</i> <i>Level 2 responses may contain inaccuracies and may be one-sided, with some explanation.</i> <i>Level 3 responses are balanced, accurate and directly address the question.</i> <i>A one-sided response cannot gain any marks for evaluation.</i>	
OR		
3(a)	Explain, with examples, how negative externalities of production can cause market failure in a free market economy such as the United States. <i>Up to 3 marks AO1 / up to 3 marks AO2 / up to 2 marks AO3.</i> AO1 (max 3): • A negative externality is a cost imposed on a third party not involved in the transaction (1). • Market failure occurs when free markets fail to achieve an efficient allocation of resources (1). • With negative production externalities, $MSC > MPC$ (1). AO2 (max 3): • Firms only consider private costs when maximising profit (1), so output is greater than the socially optimal level (1), and price is lower than the socially optimal price (1). • US examples: air pollution from coal-fired power plants; water pollution from industrial plants; noise pollution from factories; carbon emissions from heavy industry. • Use of a diagram showing MPC, MSC, MPB, with a welfare loss triangle earns marks. AO3 (max 2): • The existence of a welfare loss (deadweight loss) demonstrates allocative inefficiency (1); the extent of market	8

Question	Answer	Marks
	failure depends on the scale of the externality and whether regulation already exists (1).	
3(b)	Assess whether indirect taxation is the most effective way for a government to reduce negative externalities of production. <i>Use Table A (AO1 and AO2 out of 8 marks) and Table B (AO3 out of 4 marks).</i> Indicative content: AO1 and AO2: • An indirect tax (e.g. a Pigouvian tax) internalises the externality by raising MPC to MSC, reducing output to the socially optimal level. • Advantages: raises government revenue, uses the price mechanism, flexible. • Disadvantages: difficult to set at the correct level, regressive, depends on PED. • Alternatives: regulation/command-and-control, tradable pollution permits (e.g. EU ETS), subsidies for clean alternatives, information campaigns, property rights. AO3: • Conclusion that indirect taxation is one of several options; its effectiveness depends on the ability to measure the externality, PED, the scale of the problem, and political feasibility. Tradable permits may be more effective for large-scale pollution; regulation may be more effective where risk is high (e.g. toxic waste). <i>A one-sided response cannot gain any marks for evaluation.</i>	12

Section C

Use Tables A and B for (b) parts. Follow the point-based marking guidance for (a) parts.

Question	Answer	Marks
EITHER		
4(a)	Using an AD/AS diagram, explain how an increase in business confidence in the UK might affect the level of economic activity, and consider one factor that could limit this effect. <i>Up to 3 marks AO1 / up to 3 marks AO2 / up to 2 marks AO3.</i> AO1 (max 3): • Business confidence affects planned investment (I), a component of AD (1). • $AD = C + I + G + (X - M)$ (1). • A correctly labelled AD/AS diagram showing AD shifting rightward (1). AO2 (max 3): • Rise in confidence → higher investment → AD shifts right (1). • Leads to higher real GDP and employment (1); on an upward-sloping SRAS, price level also rises (1). • Multiplier effect amplifies the initial impact (1). AO3 (max 2): • Limiting factors (any one developed): degree of spare capacity (if at full employment, effect is mostly inflationary) (1); crowding out if fiscal implications; time lags in investment decisions; interest rate rise in response (1).	8
4(b)	Assess whether fiscal policy is a more effective tool than monetary policy for reducing unemployment in a developed economy. <i>Use Table A and Table B.</i> Indicative content: AO1 and AO2: • Fiscal policy: government spending ↑ or taxes ↓ → AD shifts right → derived demand for labour ↑ → unemployment ↓. • Monetary policy: Bank Rate ↓ → cheaper borrowing → C and I ↑ → AD → employment. • Fiscal can be targeted (e.g. regional infrastructure spending, employment subsidies) at specific types of unemployment (structural, regional). • Monetary policy has a wider, less targeted effect; can tackle cyclical unemployment through the interest-rate channel. • Fiscal limitations: budget deficits, crowding out, political constraints, time lags. • Monetary limitations: zero-lower-bound issues, inequality of	12

Question	Answer	Marks
	effect, weak transmission, time lags. AO3: A justified conclusion: effectiveness depends on the type of unemployment (cyclical vs structural), initial position (recession, boom), state of fiscal space, credibility of central bank, and openness of the economy. Neither is universally superior. <i>A one-sided response cannot gain any marks for evaluation.</i>	
OR		
5(a)	With the help of a diagram, explain how a depreciation of a floating exchange rate may improve the current account of a country's balance of payments, and consider one reason why it may not. <i>Up to 3 marks AO1 / up to 3 marks AO2 / up to 2 marks AO3.</i> AO1 (max 3): - Definition of depreciation: a fall in the external value of a currency under floating rates (1). - Current account = trade in goods + services + primary + secondary income balances (1). - Forex diagram: leftward shift in demand for pound or rightward shift in supply of pound, new equilibrium at lower exchange rate (1). AO2 (max 3): - Depreciation makes exports cheaper in foreign currency (1); imports dearer in domestic currency (1). - If Marshall–Lerner condition holds ($PED_x + PED_m > 1$), current account improves (1). - Quantity of exports rises, quantity of imports falls; net exports ($X-M$) rises (1). AO3 (max 2): - J-curve effect: in the short run, the current account may worsen before improving (1) because contracts and demand take time to adjust to new prices (1). Alternatively: if demand for imports is highly inelastic (e.g. essential raw materials), the import bill may rise.	8
5(b)	Assess the extent to which a persistent current account surplus is always beneficial for an economy. <i>Use Table A and Table B.</i> Indicative content: AO1 and AO2: Definition: a surplus on the current account of the BoP means the value of exports + primary/secondary income > value of imports.	12

Question	Answer	Marks
	• Benefits: exports contribute positively to AD and growth; job creation in export sectors; accumulation of foreign reserves; reduces external debt vulnerability. • Drawbacks: a large surplus may indicate weak domestic demand; may put upward pressure on the exchange rate, eroding competitiveness; may provoke retaliation / protectionism from trading partners; may reflect suppressed domestic consumption (e.g. Germany, China). • Inflationary pressure if caused by rising export demand at full employment; opportunity cost of holding large reserves in low-return assets. AO3: • Conclusion should recognise that 'always beneficial' is too strong. Benefits depend on the cause of the surplus (export competitiveness vs. weak domestic demand), the size and persistence, and the response of trading partners. A moderate, sustained surplus from export competitiveness is typically beneficial; large persistent surpluses caused by suppressed consumption can be harmful. <i>A one-sided response cannot gain any marks for evaluation.</i>	